Warehousing object is to preserve and protect the goods from deterioration in quality and quantity.

Need for Warehousing

(a) Mass production

Production is based on the anticipated demand for goods. Mass production of goods takes place by establishing big factories and modern production. The market for such goods is spread all over the country. Therefore, warehouses are to be built at different places to store these products and provide prompt supplies when demanded.

(b) Nature of commodities

Some goods are perishable in nature and therefore it should be consumed in time to avoid deterioration. Storing them in cold storages can extend the life of the goods.

(c) Seasonal production but regular consumption

The farm products such as wheat, sugar, pulses, etc. are produced only in seasons. But the consumption of these products are evenly spread throughout the year. If proper storage facilities are not provided, the quality of these goods deteriorates and may become not usable.

(d) Regular production but seasonal consumption

Certain goods are produced regularly throughout the year. Bu they are demanded in seasons only. For example, rain-coats, blankets, umbrella, etc. require storage for whole year. They can be released in large quantities to meet the heavy demand in rainy and winter seasons.

(e) Proximity to production centers

Productions of goods at specific centers need to be supplied in time and without interruption to consumers throughout the country. For this purpose goods are regularly fed to the warehouses situated at different market areas.

13.03 Types of Warehouses

Warehouses can be classified as follows:

A. On the Basis of Ownership

(a) Private Warehouses
(b) Government Warehouses
(c) Public Warehouses
(d) Co-operative Warehouses
(e) Bonded Warehouses
(f) Institutional Warehouses
(g) Distribution Centre Warehouses

B. On the Basis of Commodities Stored

(a) General Warehouses
(b) Special Commodity Warehouses
(c) Cold Storages or Refrigerated Warehouses
(d) Climate Controlled Warehouses

A. On the Basis of Ownership

a. Private Warehouses

Private warehouses are built and owned by private business enterprises in order to store the products produced by them. They are exclusively for their use and are not meant for other manufacturing or business units.

b. Government Warehouses

They are created and operated by the Government to implement the

commerce 1-15.indd 119 2/17/2021 4:48:59 PM